HD Hyundai Marine Solution

(443060 KS)

Goltens acquisition: expanding core biz, launching North American DC O&M

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Acquiring global ISP Goltens for W330bn

Goltens is a global independent service provider (ISP), with services and parts accounting for 80% and 20% of revenue, respectively. Unlike the aftermarket (AM) business, which purchases parts from OEMs for resale (HD Hyundai Marine Solution's business model), ISPs specialize in replacing and servicing those parts on site. The decision to sell follows the division of Goltens' ownership among the second generation of the founding family. The acquisition will be funded with IPO proceeds, limiting its financial impact.

Acquisition benefits: 1) bottom-up expansion of core business sales

Goltens' business involves visiting vessels directly with AM parts from multiple OEMs. The acquisition will thus enable: 1) better access to customer assets through bundled sales of AM parts and onboard services for HD Hyundai-built vessels; 2) higher revenue by identifying demand for non-engine AM parts and securing and expanding AM sales to non-captive vessels; and 3) a comprehensive O&M solution offering that meets shipowners' needs.

Acquisition benefits: 2) securing power generation engine O&M personnel for North American data centers

Both AIDC power generation engine orders secured by HD Hyundai Heavy Industries this year are for projects in Texas. Goltens also has a Texas base, with a sizable workforce capable of servicing four-stroke engines. The acquisition therefore resolves the challenge of securing engineering personnel in North America, which capital investment alone cannot address quickly. Land-based operations account for 20% of Goltens' revenue.

Maintain target price of W448,000; retain as top pick for DC exposure

We expect to revise our earnings estimates as post-merger integration (PMI) plans become clearer after year-end. What is clear, however, is that this acquisition is a growth catalyst that could accelerate the company's already steady medium- to long-term earnings growth. As discussed in our previous report, the transaction also reinforces its position as the largest beneficiary of the North American data center power generation engine market. The company remains our top pick for data center exposure, as: 1) data center power generation engine AM operations contribute more to company-wide earnings compared with OEMs; and 2) the firm's is relatively insulated from deteriorating investor sentiment toward merchant shipbuilding and MASGA-related initiatives within the sector.

BUY (M)

Target price	W448,000 (M)
Previous target price	W448,000
Current price (Oct 08)	W219,500
Upside potential	104%

Market cap (Wbn)	9,841
Shares outstanding	44,833,460
Avg daily T/O (2M, Wbn)	21
Avg daily volume (2M, shrs)	100,926
52-week high/low (won)	280,500 / 159,100
Foreign ownership (%)	30.53%
Dividend yield (%)	2.04%
Major shareholders	HD Hyundai & others

Stock performance

(%)	1M	3M	12M
Absolute	3.3	11.1	(2.4)
Relative	8.4	21.5	(47.7)
Abs (US$)	3.8	24.4	2.0

Quarterly earnings

(Wbn)	3Q26E	% YoY	% QoQ	Consens	vs consens (%)
Sales	603	17.5	3.9	596	1.2
OP	120	27.9	22.6	107	11.5
Pre-tax net profit	132	26.1	21.5	111	18.7
Net profit, CI	94	18.4	13.8	81	17.2
OPM (%)	19.8	+1.6 %pt	+3.0 %pt	18.0	+1.8 %pt
NPM (%)	15.7	+0.2 %pt	+1.4 %pt	13.5	+2.2 %pt

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Sales	1,745	1,983	2,438	2,759
OP	272	350	458	609
Net profit, CI	228	270	365	473
P/E (x)	24.8	30.8	27.0	20.8
P/B (x)	7.6	10.1	9.8	8.8
EV/EBITDA (x)	19.0	21.4	19.3	14.5
ROE (%)	45.0	33.7	39.8	44.4

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Acquisition drawbacks: OPM dilution. So what?

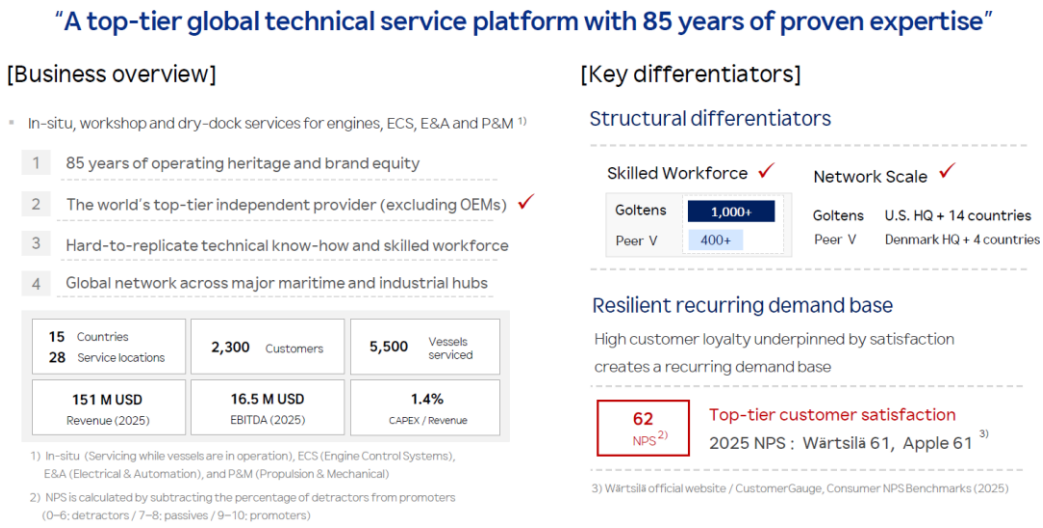
The only risk associated with the Goltens acquisition is potential dilution of the company's overall OPM (16.8% in 2Q26), given Goltens' lower OPM of 10% currently and target OPM of 13–14%. However, this is hardly a concern when considering the stark profitability differences across the company's businesses, with OPM below 1% at the bunkering division and over 30% at the AM business. Instead, the focus should be on growth in absolute earnings after the acquisition, driven by the expansion of the core AM business discussed above.

HD Hyundai Marine Solution: valuation and fair value

	2026E	2027E	2028E
Net profit, CI (Wbn)	365	473	614
Target P/E (x)			30
Fair value based on average 2026-2028E net profit (Wbn)			**14,518**
DC engine AM business (4GW, starting in 2030E)			
Present value of dividends discounted at 7% (Wbn)			4,671
Present value of terminal value (Wbn)			897
DC engine AM business value (Wbn)			**5,569**
Existing business value + new business value (Wbn)			**20,087**
Shares outstanding at year-end (mn shares)			45
Target price (won)			**448,000**

Source: Yuanta Securities

Goltens: competitiveness



Source: company data, Yuanta Securities

Core business growth after acquisition

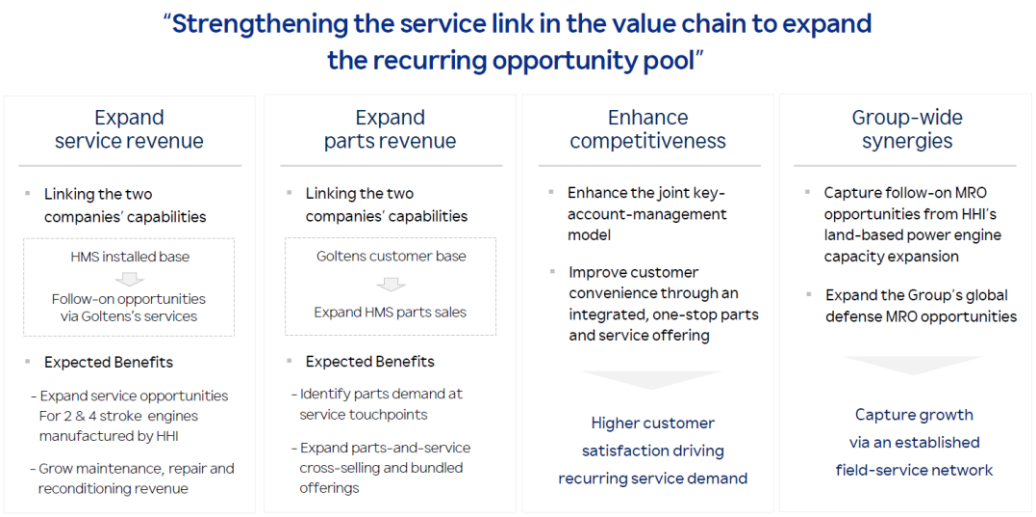
① Accelerate Core growth	▪ Secure global field-service execution capabilities ▪ Expand core-business opportunities identified through service touchpoints, accelerating growth in parts, green retrofits and digital solutions
② Expand into new markets	▪ Parts sales and O&M services for global AI data-center power generation ▪ Establish a foothold in the global MRO market
③ Gain share in the ISP market	▪ Growth in the multi-brand service market and increasing preference for scaled ISPs [1)] ▪ Core addressable market "Sweet spot" for Goltens : USD 3.0bn [2)]

1) ISP (Independent Service Provider): An independent provider that services engines and equipment from multiple OEMS after warranties expire
A scaled ISP has a global network and execution capabilities of meaningful scale

2) Provided by Goltens

Source: company data, Yuanta Securities

Potential benefits of acquisition



Source: company data, Yuanta Securities

HD Hyundai Marine Solution (443060 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Sales	**1,745**	**1,983**	**2,438**	**2,759**	**3,329**
Cost of sales	1,383	1,528	1,863	2,023	2,395
Gross profit	362	455	575	736	934
SG&A	90	105	117	127	137
Operating profit	**272**	**350**	**458**	**609**	**798**
EBITDA	284	363	476	627	806
Non-operating profit	25	5	35	30	32
Forex gains	21	-7	20	12	12
Net interest income	7	15	18	21	23
Equity-method gains	0	0	0	0	0
Other	-3	-3	-3	-3	-3
Net prof before income tax	297	355	493	639	830
Income tax	69	85	128	166	216
Net profit from continuing ops	228	270	365	473	614
Net profit from discontinued ops	0	0	0	0	0
Net profit	228	270	365	473	614
NP for controlling interest	**228**	**270**	**365**	**473**	**614**
Total comprehensive income	238	266	361	469	611
Total comprehensive income, CI	238	266	361	469	611

Statement of financial position

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Current assets	**1,076**	**1,187**	**1,389**	**1,525**	**1,722**
Cash & cash equivalents	298	378	488	536	631
Accounts receivables & other	263	318	376	435	506
Inventory	273	271	292	301	310
Non-current assets	77	86	90	90	83
Tangible assets	20	30	34	34	26
Investment in affiliates	3	3	3	3	3
Other investment assets	0	1	1	1	1
Total assets	**1,152**	**1,272**	**1,479**	**1,615**	**1,805**
Current liabilities	343	409	433	458	493
Accounts payable & other	184	214	253	293	339
ST financial liabilities	0	0	0	0	0
Liquid LT liabilities	0	0	0	0	0
Non-current liabilities	36	39	38	37	42
LT financial liabilities	0	0	0	0	0
Debentures	0	0	0	0	0
Total liabilities	**379**	**448**	**470**	**495**	**536**
Equity, controlling interest	774	825	1,009	1,120	1,269
Paid-in capital	22	22	22	22	22
Capital surplus	385	404	404	404	404
Retained earnings	324	377	565	679	831
Equity, non-controlling interest	0	0	0	0	0
Total equity	**774**	**825**	**1,009**	**1,120**	**1,269**
Net debt	**-461**	**-546**	**-664**	**-728**	**-840**
Total debt	21	18	20	22	24

Cash flow statement

FY ends Dec (Wbn)	2024A	2025A	2026E	2027E	2028E
Operating cash flow	**247**	**324**	**374**	**502**	**630**
Net profit	228	270	365	473	614
Depreciation & amortization	12	13	18	18	8
Forex gains	-6	3	-20	-12	-12
Affiliate investment gains	0	0	0	0	0
Increase in net working cap	-6	20	12	23	21
Other	18	19	-1	-1	-1
Investing cash flow	**-196**	**-21**	**-33**	**-36**	**-20**
Investment	-3	-1	0	0	0
Increase in tangible assets	-10	-17	-23	-18	0
Decrease in tangible assets	0	0	0	0	0
Other	-183	-4	-9	-18	-19
Financing cash flow	**149**	**-223**	**-201**	**-383**	**-485**
ST financial liabilities	-126	0	2	1	2
Debenture/LT financial liabilities	1	-3	0	0	0
Equity	367	20	0	0	0
Cash dividend	-100	-215	-177	-359	-462
Other cash flow	7	-26	-26	-26	-26
Consolidation adj and other	3	0	-30	-35	-30
Increase in cash & equivalents	**203**	**79**	**110**	**47**	**96**
Beginning cash & equivalents	96	298	378	488	536
Ending cash & equivalents	298	378	488	536	631
NOPLAT	272	350	**458**	**609**	**798**
FCF	**237**	**307**	**351**	**484**	**630**

Valuation

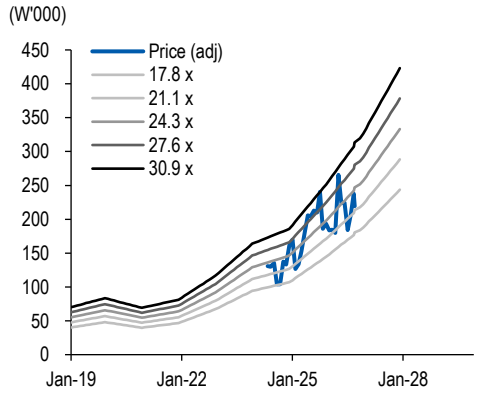
FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS (won)	5,302	6,013	8,137	10,548	13,699
BPS (won)	17,255	18,396	22,508	24,980	28,304
EBITDA/shr (won)	6,595	8,093	10,627	13,997	17,968
SPS (won)	40,599	44,228	54,381	61,531	74,258
DPS (won)	3,150	3,950	8,000	10,300	0
P/E (x)	**24.8**	**30.8**	**27.0**	**20.8**	**16.0**
P/B (x)	**7.6**	**10.1**	**9.8**	**8.8**	**7.8**
EV/EBITDA (x)	**19.0**	**21.4**	**19.3**	**14.5**	**11.2**
P/S (x)	**3.2**	**4.2**	**4.0**	**3.6**	**3.0**

Key financial data

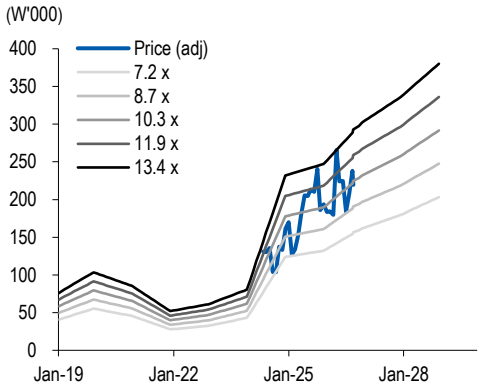
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Sales (% YoY)	**22.0**	**13.6**	**23.0**	**13.1**	**20.7**
Operating profit (%YoY)	**34.9**	**28.9**	**30.8**	**33.0**	**30.9**
Net profit, CI (%YoY)	**50.8**	**18.3**	**35.3**	**29.6**	**29.9**
Gross margin (%)	20.7	22.9	23.6	26.7	28.1
Operating margin (%)	**15.6**	**17.7**	**18.8**	**22.1**	**24.0**
Net margin, CI (%)	13.1	13.6	15.0	17.1	18.4
EBITDA margin (%)	16.2	18.3	19.5	22.7	24.2
ROIC (%)	76.3	98.5	117.3	130.9	151.9
ROA (%)	25.2	22.2	26.5	30.6	35.9
ROE (%)	**45.0**	**33.7**	**39.8**	**44.4**	**51.4**
Debt-to-equity (%)	49.0	54.3	46.6	44.2	42.2
Net debt-to-equity (%)	-59.6	-66.2	-65.8	-65.0	-66.2
OP/financing cost (x)	59.8	330.2	438.3	537.8	646.2

Note: CI = controlling interest
Operating profit calculation same as K-GAAP (sales - COGS - SG&A exp)
EPS, BPS, P/E and P/B are based on controlling interest
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior
Source: Yuanta Securities

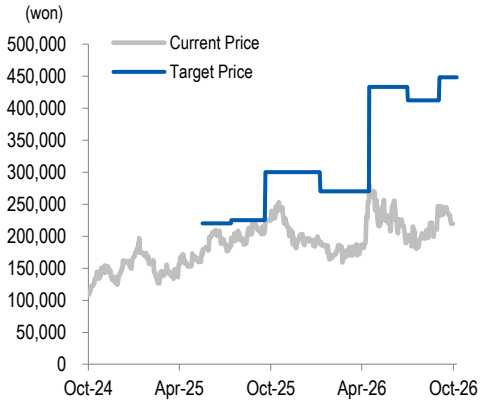
P/E band chart



P/B band chart



HD Hyundai Marine Solution (443060 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/12	BUY	448,000	1 yr		
2026/09/14	BUY	448,000	1 yr		
2026/07/13	BUY	412,000	1 yr	-50.70	-40.05
2026/04/27	BUY	433,000	1 yr	-46.66	-36.26
2026/01/19	BUY	270,000	1 yr	-32.51	-6.11
2025/10/01	BUY	300,000	1 yr	-30.02	-15.67
2025/07/25	BUY	225,000	1 yr	-9.36	-2.22
2025/05/28	BUY	220,000	1 yr	-12.50	-4.77

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 12, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
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  - Neutral: Investment weighting is equal to the market capitalization weighting
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